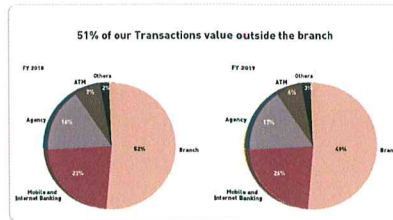
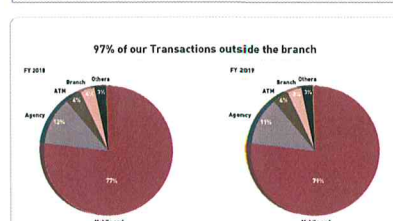


EQUITY GROUP HOLDINGS PLC AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE YEAR ENDED 31ST DEC 2019



	EQUITY BANK (KENYA) LIMITED		EQUITY GROUP HOLDINGS PLC			
	BANK	COMPANY	GROUP			
STATEMENT OF FINANCIAL POSITION AS AT	31st Dec 2019	31st Dec 2018	31st Dec 2019	31st Dec 2018	31st Dec 2019	
	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	Shs. '000' (Audited)	
A. ASSETS						
1. Cash (both local & foreign)	8,580,095	10,294,829	7,874,725	19,846,917	25,499,983	
2. Balances due from Central Bank of Kenya	23,148,790	22,299,710	-	23,148,790	22,299,710	
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	
4. Financial assets at fair value through profit and loss	-	-	-	-	-	
5. Investment securities:	150,769,440	154,914,387	-	140,952,084	172,208,197	
a) Held to maturity:	16,451,884	15,798,028	-	16,451,884	21,572,248	
i. Kenya Government securities	15,480,143	15,183,490	-	15,480,143	15,183,490	
ii. Other securities	971,741	614,538	-	971,741	614,538	
b) Available for sale:	134,317,556	139,116,359	-	124,450,241	150,634,719	
i. Kenya Government securities	114,754,102	123,389,271	-	114,754,102	123,389,271	
ii. Other securities	19,563,454	15,727,088	-	9,696,139	27,245,448	
6. Deposits and balances due from banking institutions abroad	2,000,000	6,000,974	-	5,209,182	7,202,000	
7. Deposits and balances due from banking institutions - local	4,372,864	6,800,293	-	26,414,026	31,430,500	
8. Tax receivable	-	-	11,000	297,226,915	366,440,454	
9. Loans and advances to customers (net)	223,565,307	275,853,043	94,902	24,176	19,100	
10. Balances due from group companies	454,990	925,602	66,784,117	-	-	
11. Investments in associates	-	-	66,784,117	-	-	
12. Investments in subsidiary companies	-	-	-	-	-	
13. Investments in joint ventures	-	-	-	-	-	
14. Investment properties	-	-	-	-	-	
15. Property and equipment	5,220,724	5,725,546	12,455	10,275,726	11,030,843	
16. Prepaid lease rentals	12,144	6,191,571	-	529,153	7,244,414	
17. Intangible assets	4,925,595	5,044,277	82,996	6,116,787	6,491,884	
18. Deferred tax asset	-	-	-	-	-	
19. Retirement benefit asset	-	-	-	-	-	
20. Other assets	8,177,012	14,794,385	275,892	15,716,115	21,641,116	
21. TOTAL ASSETS	438,508,784	507,525,237	74,885,632	573,384,730	673,482,541	
C. LIABILITIES						
22. Balances due to Central Bank of Kenya	-	-	-	422,758,484	482,750,134	
23. Customer deposits	341,622,456	380,602,583	-	-	-	
24. Deposits and balances due to local banking institutions	-	-	-	-	-	
25. Deposits and balances due to foreign banking institutions	-	-	-	-	-	
26. Other money market deposits	159,778	534,211	-	921,600	113,414	
27. Borrowed funds	30,108,513	41,542,934	-	44,179,473	56,600,944	
28. Balances due to group companies	194,526	176,118	422,538	618,649	-	
29. Tax payable	-	1,537,482	-	184,468	1,928,201	
30. Dividends payable	-	-	-	39,937	149,708	
31. Deferred tax liability	-	-	-	-	-	
32. Retirement benefit liability	-	-	-	-	-	
33. Other liabilities	5,836,742	17,408,534	2,824	10,342,781	20,361,475	
34. TOTAL LIABILITIES	377,922,215	437,610,847	425,342	478,427,605	561,105,874	
C. SHAREHOLDERS' FUNDS						
35. Paid up / assigned capital	30,000,000	30,000,000	1,886,837	1,886,837	1,886,837	
36. Share premium / (discount)	9,944,132	9,944,132	16,062,607	16,062,607	16,062,607	
37. Retained earnings / accumulated losses	1,203,141	2,380,910	51,792,768	77,486,425	89,715,472	
38. Statutory loan loss reserve	20,825,351	27,567,351	-	16,041	738,780	
39. Other reserves	-	-	7,547,350	9,434,187	9,434,187	
40. Proposed dividends	-	-	-	-	-	
41. Non controlling interests	-	-	-	-	-	
42. TOTAL SHAREHOLDERS' FUNDS	40,968,524	49,912,393	74,400,202	104,390,066	117,130,803	
43. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	438,508,784	507,525,237	74,885,632	573,384,730	673,482,541	
STATEMENT OF COMPREHENSIVE INCOME						
1. INTEREST INCOME						
1.1 Loans and advances	25,498,538	28,836,285	-	35,415,444	41,458,529	
1.2 Government securities	15,480,784	15,450,974	-	15,301,245	16,592,322	
1.3 Deposits and placements with banking institutions	170,928	799,441	212,145	429,354	1,201,517	
1.4 Other interest income	21,284	4,833	-	84,156	2,899,449	
1.5 Total interest income	40,931,534	45,191,533	212,145	51,230,959	61,151,817	
2. INTEREST EXPENSES						
2.1 Customer deposits	6,806,737	7,608,835	-	9,426,897	11,072,280	
2.2 Deposits and placements from banking institutions	65,306	139,494	-	531,279	618,524	
2.3 Other interest expenses	2,053,313	3,020,894	-	1,849,859	2,899,449	
2.4 Total interest expenses	9,825,356	10,769,223	-	11,808,035	14,590,253	
3. NET INTEREST INCOME	32,006,178	34,422,310	212,145	39,422,924	46,561,564	
4. NON-INTEREST INCOME						
4.1 Fees and commissions income on loans & advances	4,312,599	5,017,215	-	4,932,104	5,394,435	
4.2 Other fees and commissions income	8,979,321	10,371,022	-	13,332,054	15,408,742	
4.3 Foreign exchange trading income	2,116,741	2,312,072	-	3,308,959	3,503,641	
4.4 Dividend income	1,954,994	3,032,367	10,450,000	6,888,255	6,071,051	
4.5 Other income	1,245,589	2,072,854	10,493,574	25,811,374	30,780,053	
4.6 Total non-interest income	19,609,244	22,805,468	10,756,574	45,264,346	51,157,826	
5. TOTAL OPERATING INCOME	51,615,422	57,227,778	10,756,574	84,687,270	97,719,390	
6. OPERATING EXPENSES						
6.1 Loan loss provision	1,668,120	3,969,783	35,032	940	5,303,844	
6.2 Staff costs	7,465,207	8,579,803	29,851	11,973	12,808,766	
6.3 Directors' emoluments	15,648	18,845	25,455	75,431	143,460	
6.4 Rental charges	1,428,285	180,994	-	2,058	425,178	
6.5 Depreciation on property and equipment	2,117,313	2,918,655	-	3,139,447	4,764,363	
6.6 Amortisation charges	1,042,046	1,117,474	-	1,311,791	1,266,816	
6.7 Other operating expenses	11,051,440	12,394,979	80,242	320,045	79,583,852	
6.8 Total operating expenses	24,382,342	25,973,445	10,545,139	28,442,950	31,477,430	
7.0 Profit / (loss) before tax and exceptional items	27,233,080	31,254,333	10,211,435	56,244,320	66,241,960	
8.0 Exceptional items - share of profit of associate	-	-	-	-	-	
9.0 Profit / (loss) after exceptional items	27,233,080	31,254,333	10,211,435	56,244,320	66,241,960	
10.0 Current tax	16,424,441	16,424,441	100,579	168,251	17,916,977	
11.0 Deferred tax	1,245,224	1,245,224	80,242	1,485	1,016,652	
12. Profit / (loss) after tax and exceptional items	10,563,415	13,584,668	10,130,614	39,649,084	47,318,331	
13.0 Minority interest	-	-	-	-	-	
13. Profit / (loss) after tax and exceptional items and minority interest	10,563,415	13,584,668	10,130,614	39,649,084	47,318,331	
14. Other comprehensive income						
14.1 Gains / (losses) from translating the financial statements of foreign operations	-	-	-	(1,034,138)	(824,487)	
14.2 Fair value changes in available for sale financial assets	16,444,538	2,584,056	-	(634,176)	2,330,066	
14.3 Revaluation surplus on property and equipment	-	-	-	-	-	
14.4 Share of other comprehensive income of associates	-	-	-	-	-	
14.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	
14.6 Total comprehensive income for the year	16,444,538	2,584,056	-	1,681,748	1,505,579	
15. Total comprehensive income for the year	27,233,080	31,254,333	10,130,614	41,330,828	48,823,909	
EARNINGS PER SHARE - BASIC & DILUTED						
DIVIDEND PER SHARE - DECLARED	540.10	624.79	2.79	3.25	5.93	
	333.33	400.00	2.00	2.50	2.50	
OTHER DISCLOSURES						
1) NON PERFORMING LOANS AND ADVANCES						
a) Gross non performing loans and advances	17,063,515	26,184,843	-	24,023,595	36,273,992	
b) Less interest in suspense	2,292,319	2,555,537	-	2,329,014	4,259,222	
c) Total non-performing loans and advances (a-b)	14,771,196	23,629,306	-	21,694,581	32,014,770	
d) Less loan loss provision	5,062,742	10,105,423	-	8,426,453	12,327,708	
e) Net non-performing loans (c-d)	9,708,454	13,523,883	-	13,268,128	19,687,062	
f) Discounted value of securities	7,201,295	11,341,973	-	11,015,952	17,897,872	
g) Net NPLs exposure (e-f)	2,507,159	2,181,910	-	2,252,176	1,789,190	
2) INSIDER LOANS AND ADVANCES						
a) Directors, shareholders and associates	3,039,011	3,001,441	-	3,157,420	3,188,958	
b) Employees	4,029,083	4,977,039	-	5,168,091	6,484,556	
c) Total insider loans and advances and other facilities	7,068,094	7,978,480	-	8,325,511	9,673,514	
3) OFF BALANCE SHEET ITEMS						
a) Letter of credit, guarantees and acceptances	65,820,755	72,277,376	-	74,161,931	83,225,929	
b) Forwards, swaps and options	17,122,239	32,137,299	-	17,129,231	32,809,333	
c) Total contingent liabilities	82,942,994	104,414,675	-	91,291,162	116,035,262	
4) CAPITAL STRENGTH						
a) Core capital	55,864,207	62,449,024	-	78,649,208	98,070,488	
b) Minimum statutory capital	10,000,000	1,000,000	-	1,972,124	1,972,124	
c) Excess / (deficiency) (a-b)	45,864,207	61,449,024	-	76,677,084	96,098,364	
d) Supplementary capital	-	20,270,000	-	16,042	21,032,684	
e) Total capital (a+d)	55,864,207	82,719,024	-	94,691,250	119,103,172	
f) Total risk weighted assets	400,288,749	475,797,743	-	473,817,190	601,744,216	
Ratios						
g) Core capital / total deposit liabilities	16.4%	16.4%	-	16.6%	20.3%	
h) Minimum statutory ratio	8.0%	8.0%	-	8.0%	8.0%	
i) Excess / (deficiency) (g-h)	8.4%	8.4%	-	8.6%	12.3%	
j) Core capital / total risk weighted assets	14.0%	14.0%	-	16.2%	15.9%	
k) Minimum statutory ratio	10.5%	10.5%	-	10.5%	10.5%	
l) Excess / (deficiency) (j-k)	3.5%	3.5%	-	5.7%	5.4%	
m) Total capital / total risk weighted assets	14.0%	17.4%	-	20.0%	19.8%	
n) Minimum statutory ratio	14.5%	14.5%	-	14.5%	14.5%	
o) Excess / (deficiency) (m-n)	-0.5%	2.9%	-	5.5%	5.3%	
p) Adjusted core capital / total deposit liabilities*	17.7%	16.7%	-	20.2%	20.8%	
q) Adjusted core capital / total risk weighted assets*	15.3%	13.3%	-	17.3%	16.7%	
r) Adjusted total capital / total risk weighted assets*	15.3%	17.4%	-	17.3%	20.2%	
5) LIQUIDITY						
a) Liquidity ratio	57.7%	54.7%	-	54.1%	52.1%	
b) Minimum statutory ratio	20.0%	20.0%	-	20.0%	20.0%	
c) Excess / (deficiency) (a-b)	37.7%	34.7%	-	34.1%	32.1%	



*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS 9.

Subject to approval of shareholders of the Annual General Meeting scheduled for Thursday 25th June, 2020 at the Kenyatta International Conference Centre (KICC) Nairobi at 10am. The Directors have recommended a first and final dividend of Shs 2.50/- per each ordinary share of Shs 0.50 for the year ended 31st December, 2019. The proposed dividend will be payable on or about 24th July, 2020, net of withholding tax to shareholders on the register at the close of business on Friday, 12th June, 2020.

These financial statements are extracts from the books of accounts as audited by PricewaterhouseCoopers LLP. The same have received an unqualified opinion. The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.equitybank-group.com. They may also be accessed at the institution's head office located at Equity Centre, 9th floor, Hospital Road Upper Hill.

Equity Bank (Kenya) Limited and Equity Group Holdings Plc are regulated by the Central Bank of Kenya.

Signed: _____
Dr. James Njuguna Mwani
Group Managing Director & CEO

Signed: _____
Prof. Isaac Macharia
Director